PepsiCo - watch / defer initiation

Oladapo Olaniyan | FIN-43900 Project 1 | Buy-side investment committee; no current position

Decision recorded October 17, 2026. Market reference: October 5, 2026. USD; PEP common shares; diluted-proxy valuation. Five-year forecast: FY2026-FY2030. Working investment review horizon: 12-24 months.

Committee ask

Keep PepsiCo on watch and defer entry. The base DCF value is $117.29 per diluted-proxy share, approximately 6.7% below the recorded $125.65 price. Low/base/high values are $76.12 / $117.29 / $170.22, conditional scenarios rather than probabilities or a single target. Reconsider after a reviewed current-date bridge and verified margin/cash improvement, or a defensible margin of safety. No numerical purchase threshold is claimed as accepted by the analyst.

Evidence and normalization

The saved FY2025 filing ledger reports revenue $93,925M, operating profit $11,498M, and intangible impairment $1,993M. Adding back the impairment gives normalized EBIT $13,491M. This analytical adjustment does not establish brand recovery or make impairments economically irrelevant. CFO $12,087M less capex $4,415M equals $7,672M; this is not automatically FCFF. Segment capex $4,192M plus corporate $223M reconciles to consolidated $4,415M. Cash-flow working-capital investment and the balance-sheet change differ by $802M; that scope difference remains qualified.

Forecast, FCFF and bridge

The base forecast assumes revenue growth of 5%, then 3.5%, 3.5%, 3%, and 3%; gross margin 54.2% to 54.5%; SG&A 39.8% to 39.3% of revenue; capex 4.7% of revenue; and a 22% normalized tax rate. These are assumptions, not company facts. FY2030 revenue is about $112,079M, EBIT $17,036M, and FCFF $12,332M. FCFF equals after-tax EBIT plus D&A less capex and operating working-capital investment; financing stays outside FCFF.

Base WACC is 7.66%, with assumed beta 0.65, equity risk premium 5%, debt spread 80bp, and a dated Treasury proxy 5.31%. Terminal growth is 2.5%, terminal incremental ROIC 15%, and terminal reinvestment is NOPAT times growth divided by ROIC. Terminal value is 80.1% of EV. Remaining FY2026 FCFF uses an 82/365 stub, with seasonality unvalidated.

The EV-to-equity bridge is $200,936M EV + $10,251M cash + $465M short-term investments + $2,180M affiliate book-value proxy - $53,214M debt - $172M noncontrolling interest = approximately $160,446M common equity. Dividing by 1,367.891558M diluted-proxy shares gives $117.29. Balance dates are June 13 and share date July 2; a complete October rollforward is not claimed.

Scenarios and market expectations

Case	Value/share	WACC	Terminal growth
Low	$76.12	8.16%	1.5%
Base	$117.29	7.66%	2.5%
High	$170.22	7.16%	3.0%
Value Reset Failure	$51.63	8.66%	1.0%

WACC/g sensitivity spans about $86.17-$166.79 over WACC 6.66%-8.66% and growth 1.5%-3%. Reverse DCF requires approximately 0.85 percentage points more EBIT margin throughout the forecast, holding other inputs fixed, to support $125.65. That is one conditional path rather than a unique market forecast.

Peer disagreement and downside

The predeclared Coca-Cola and Mondelez lenses use dated annual earnings and qualified balance-sheet proxies. Median EV/EBITDA is about 22.42x and P/E 29.43x. The implied reported-EBITDA and earnings routes produce approximately $215.36 and $177.27 per share; these are qualified comparisons, not additional price targets. Business mix, derivative losses, aged denominators, and investment/claim conventions limit comparability. Do not mechanically average the peer outputs and DCF. No unsupported transaction valuation is used.

Value Reset Failure combines weaker revenue, lower gross margin, higher SG&A, and longer receivable/inventory days. It produces year-two FCFF about $5,937M and modeled cumulative funding draws about $21,208M while maintaining a $4,000M cash floor. This is a modeled funding stress, not a contractual covenant or default forecast.

Monitoring and reversal conditions

Monitor revenue growth, operating margins, cash conversion, debt, and payouts after future releases. Reconsider entry only when updated evidence supports the valuation and funding path, or when price offers a defensible margin of safety. Structural margin erosion, weak cash conversion, or inadequate downside funding would argue against initiation. The current-date bridge, working-capital scope, peer definitions, and long-run assumptions remain material limitations.

Validation, AI and sources

The executed ordinary checks report 42 PASS, 0 FAIL, 5 OPEN, and 2 QUALIFIED; the fresh-environment run reproduced principal outputs. A separate ROIC test, 15% to 12%, lowered value from $117.29 to $111.41, a $5.88 / 5.02% decline. These validate named mechanics and model response, not all economic assumptions. No real partner challenge is represented as completed where evidence is absent.

Codex/GPT-6 assisted research, code, calculations, documents, scripts, and transcript comparison. Material uses, independent checks, qualifications, and reported course clarifications are disclosed in Validation-and-AI-Use.pdf. Source dates and locators are in source-register-v3.csv and data/filing-inputs.json; management-outlook-ledger.csv distinguishes guidance from assumptions. The recommendation above is supported by Oladapo's recorded committee position.